

ENTREPRENEURSHIP THERORY & PRACTICE (GE4B01)

MODULE 3



The background is a solid purple color. Overlaid on this is a grid of small, lighter purple dots. A thin, dark purple line graph is also present, starting from the bottom left and trending upwards towards the top right, with several peaks and valleys. The text 'ENTERPRENEURIAL' is in white, and 'MOTIVATION' is in a bright green color.

ENTERPRENEURIAL MOTIVATION

INTRODUCTION

- Entrepreneurial motivation refers to the forces that influence an individual to establish and run a business enterprise. Motivation gives direction, energy, and persistence to entrepreneurial activities.
- An entrepreneur does not start a business only for profit. Various psychological, social, economic, and personal factors motivate entrepreneurial behavior.
- Motivation is the process that stimulates people to act toward achieving goals.
- In entrepreneurship, motivation encourages individuals to:
 - Identify opportunities
 - Take initiative
 - Organize resources
 - Bear risks
 - Achieve business success



DEFINITION

- According to David McClelland, entrepreneurial motivation is strongly related to the “need for achievement.”



CHARACTERISTICS OF ENTREPRENEURIAL MOTIVATION

- Goal-oriented
- Continuous process
- Influences entrepreneurial behavior
- Leads to innovation and creativity
- Helps overcome obstacles and failures
- Encourages risk-taking



TYPES OF ENTREPRENEURIAL MOTIVATION

A. Internal (Intrinsic) Motivation

Motivation arising from personal satisfaction.

Examples:

Passion

Creativity

Self-respect

Achievement

Features

Long-lasting

Self-driven

Encourages innovation



TYPES OF ENTREPRENEURIAL MOTIVATION

B. External (Extrinsic) Motivation

Motivation influenced by outside rewards.

Examples:

Money

Fame

Social recognition

Government incentives

Features

Reward-based

Influenced by environment

Often temporary



FACTORS MOTIVATING ENTREPRENEURS

1. **Desire for Independence:** Many entrepreneurs want freedom in decision-making and dislike working under others.
2. **Profit Motive:** Higher earnings and wealth creation attract individuals toward business.
3. **Social Status:** Entrepreneurs gain prestige and recognition in society.
4. **Self-fulfillment:** Entrepreneurship allows individuals to express talents and creativity.
5. **Family Influence:** Business families often encourage entrepreneurship.
6. **Government Support:** Loans, subsidies, and startup schemes motivate entrepreneurship.
7. **Unemployment:** Lack of jobs pushes many people toward self-employment



IMPORTANCE OF ENTREPRENEURIAL MOTIVATION

Encourages business formation

Promotes innovation

Creates employment opportunities

Increases economic development

Improves standard of living

Develops leadership qualities



BARRIERS TO ENTREPRENEURIAL MOTIVATION

Fear of failure

Lack of finance

Lack of skills

Social insecurity

Poor government support

Market uncertainty



WAYS TO DEVELOP ENTREPRENEURIAL MOTIVATION

- Entrepreneurship education
- Skill development training
- Financial assistance
- Mentoring and counselling
- Success stories and role models
- Government startup programs



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RISK TAKING BEHAVIOUR

INTRODUCTION

- According to Frank H. Knight, entrepreneurship involves bearing uncertainty and risk.
- Risk-taking is an essential feature of entrepreneurship because business decisions involve uncertainty.
- Entrepreneurs invest time, money, and effort without guaranteed success.

Meaning of Risk

Risk is the possibility of loss or failure due to uncertainty.

Entrepreneurs face:

Financial uncertainty

Market competition

Technological changes

Consumer preference changes



CHARACTERISTICS OF ENTREPRENEURIAL RISK-TAKING

Calculated decision-making

Moderate risk preference

Problem-solving attitude

Confidence in abilities

Future orientation



TYPES OF ENTREPRENEURIAL RISK

1. **Financial Risk**- Loss of investment or capital.
2. **Market Risk**- Failure due to poor demand.
3. **Technological Risk**- Technology becoming outdated.
4. **Career Risk**- Leaving stable employment.
5. **Social Risk**- Fear of criticism and social failure.
6. **Operational Risk**- Problems in production or management.



RISK-TAKING PROCESS

Step 1: Identify Risk- Recognize possible uncertainties.

Step 2: Analyze Risk- Study probability and impact.

Step 3: Evaluate Alternatives- Compare possible solutions.

Step 4: Take Decision- Choose the best option.

Step 5: Monitor Results- Observe outcomes and make corrections.



RISK MANAGEMENT TECHNIQUES

- Market research
- Insurance
- Diversification
- Proper planning
- Financial control
- Training and skill development



IMPORTANCE OF RISK TAKING IN ENTREPRENEURSHIP

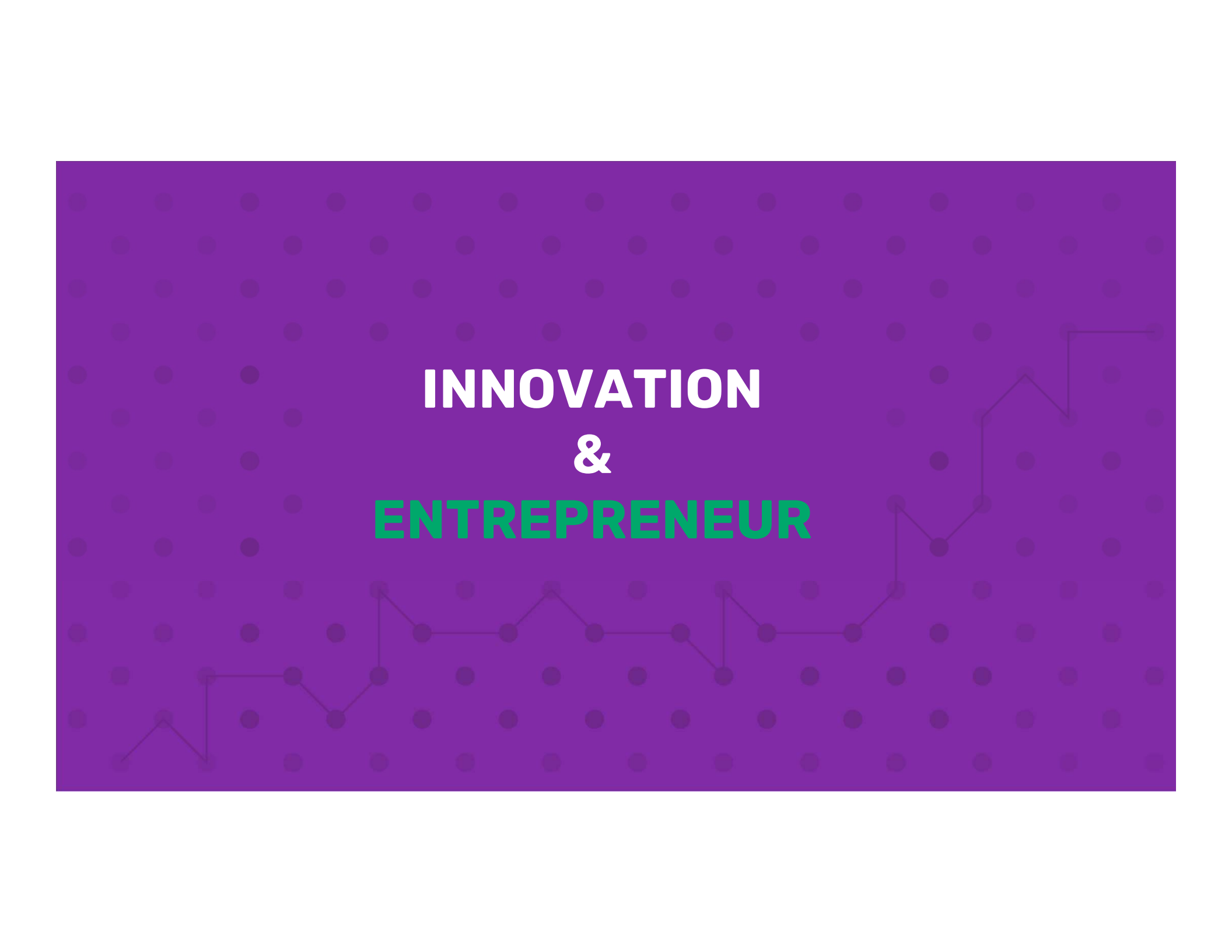
- Encourages innovation
- Creates opportunities
- Increases profits
- Promotes economic growth
- Develops confidence and leadership



DIFFERENCE BETWEEN RISK AND UNCERTAINTY

Basis	Risk	Uncertainty
Measurement	Measurable	Not measurable
Prediction	Possible	Difficult
Example	Insurance risk	Sudden policy change



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INNOVATION & ENTREPRENEUR

INTRODUCTION

- According to Joseph Schumpeter, innovation is the key function of entrepreneurship.
- Schumpeter called entrepreneurs agents of “creative destruction.”
- Innovation is the introduction of new ideas, methods, products, or services.
- Entrepreneurs use innovation to create value and gain competitive advantage.

Meaning of Innovation

Innovation means converting creative ideas into practical applications.

It may involve:

New products

New production methods

New marketing techniques

New organizational systems

FEATURES OF INNOVATION

- Novelty
- Value creation
- Problem-solving
- Commercial application
- Continuous improvement



TYPES OF INNOVATION

1. Product Innovation- Introduction of new products.

Example: Smartphones, Electric vehicles

2. Process Innovation- Improved production methods.

Example: Automation, AI-based manufacturing

3. Marketing Innovation- New advertising or selling methods.

Example: Social media marketing , Influencer marketing

4. Organizational Innovation- Improved management practices.

Example: Remote work systems , Flat organizational structures



ROLE OF ENTREPRENEURS IN INNOVATION

- Entrepreneurs:
- Identify market opportunities
- Convert ideas into products
- Introduce technological changes
- Create employment
- Improve productivity



INNOVATION PROCESS

Step 1: Idea Generation—Creating new concepts.

Step 2: Feasibility Analysis— Checking practicality.

Step 3: Product Development— Designing the product/service.

Step 4: Testing— Trial runs and feedback.

Step 5: Commercialization— Launching into the market.



IMPORTANCE OF INNOVATION

- Improves competitiveness
- Increases efficiency
- Meets customer needs
- Encourages economic development
- Generates employment



BARRIERS TO INNOVATION

- Lack of finance
- Fear of failure
- Resistance to change
- Lack of skilled manpower
- Technological limitations



INNOVATION Vs. INVENTION

Basis	Innovation	Invention
Meaning	Commercial use of ideas	Creation of new ideas
Focus	Practical application	Discovery
Example	Smartphone business	Telephone invention





Thank You